6.1 Imports, Exports, and Exchange Rates

Video: Imports, Exports, and Exchange Rates (Crash Course Economics)

Imports and Exports

When a good or service is produced in Brazil and sold to a person or business in the U.S., it counts as an _____ for Brazil and an _____ for the U.S.

The U.S. is the world's largest importer. Its largest trading partner (imports and exports together) is not China but _____.

The U.S. is also the world's second largest exporter, selling high-tech goods, intellectual goods like movies and music, and bulk commodities like corn and cotton.

Term	Meaning
	The annual difference between a country's exports and imports
	Exports are greater than imports (net exports are positive)
	Imports are greater than exports (net exports are negative)

Is a Trade Deficit Bad?

The U.S. buys most of its clothing from other countries because it is cheaper than making it here. It makes sense to trade with countries that have a _____.

Lower prices can come with other costs: unsafe working conditions and environmental degradation overseas.

Economic theory suggests international trade _____ from one sector of the economy to another, but the new jobs may pay less. What is good in the aggregate is not necessarily good for individuals.

Example: the North American Free Trade Agreement (_____), set up in 1994. Critics say it increased trade deficits and cost manufacturing jobs; proponents say it helped create jobs and lowered the prices of consumer goods.

_____ policy, like placing high tariffs on imports, usually hurts an economy more than it helps. The _____ (WTO) works to reduce protectionism and settle disputes.

Exchange Rates

An _____ is how much your currency is worth when you trade it for another country's currency.

If the dollar...	Imports to the U.S.	U.S. exports
_____ (each dollar buys more pesos)	Get cheaper, so they rise	Get more expensive, so they fall
_____ (each dollar buys fewer pesos)	Get more expensive, so they fall	Get cheaper, so they rise

Most currencies have _____ that change based on supply and demand. Some countries peg their currency, with the central bank buying or selling currencies to keep the rate in a certain range.

Financial Assets and the Balance of Payments

The _____ records all of a country's international transactions. It has two sub accounts:

The _____ records the sale and purchase of goods and services, investment income earned abroad, and transfers like foreign aid.
The _____ (sometimes called the capital account) records the purchase of financial assets like stocks and bonds.

The U.S. has a very low savings rate, so it sells assets to pay for the extra goods it imports.

Conclusion

Trade creates winners and losers, but in the aggregate, trade does improve the global _____.

Think About It

Look at the labels on three things you own. Where were they made, and how might your life be different if everything had to be made in the U.S.? _____